IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) No.07/ALD/2022
(Under sections 230, 232 & 66 of the Companies Act, 2013)

In the matter of
The Companies Act, 2013

AND

In the matter of

Sections 230, 232, 66 and other applicable provisions of the Companies Act, 2013 and the Companies (Compromises, Arrangements & Amalgamations), Rules, 2016

AND

In the matter of

1. **EURO FOOTWEAR PVT LTD**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at 417-419, 4th Floor, Krishna Tower, 15/63, Civil Lines, Kanpur-208 001, Uttar Pradesh

… Applicant Company No.1/Demerged Company

AND

2. **OLIVE SHOES PVT LTD,** a private limited company incorporated under the Companies Act, 2013 and having its registered office at 405, Krishna Tower, 15/63, Civil Lines, Kanpur-208 001, Uttar Pradesh

… Applicant Company No.2/Resulting Company

Order reserved on: 24.05.2022

Order pronounced on: 13.06.2022

Coram:

Shri Rajasekhar V. K.	:	Member (Judicial)
Shri Virendra Kumar Gupta	:	Member (Technical)

Counsel on Record for the Applicants:

For the petitioners	:	Mr Rajeev K Goel, AdvocateMr Kartikeya Goel, AdvocateMr Ankit Singh, PCS

ORDER

Rajasekhar V.K., Member (Judicial)

1. This first motion Application under sections 230 & 232 of the Companies Act, 2013, read with section 66 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016 ***(hereinafter referred to as "the Rules")*** is filed by the Applicant Companies seeking directions of this Tribunal to dispense with the requirement of convening meetings of Shareholders, Secured Creditors and Unsecured Creditors of the Demerged Company and the Resulting Company. The Applicant No.1 Company is the Demerged Company, whereas the Applicant No.2 is the Resulting Company as stated in the proposed Scheme of Arrangement and in the Application. The Appointed Date of the Scheme has been fixed as 01 April 2022.

—Sd—

The Applicants have also stated that the accounting treatment proposed in the Scheme of Arrangement is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. Certificates from the respective Statutory Auditors of both the Applicant Companies have been filed along with the Application.

2. The learned Counsel for the Applicant Companies submitted that the Demerged Company is a closely held private limited company. The Resulting Company is a wholly owned subsidiary of the Demerged Company. Entire issued and paid-up Equity Share Capital of the Resulting Company is beneficially owned by the Demerged Company. Both the Companies are under common management and control.

3. The details of Shareholders, Secured Creditors and Un-secured Creditors of both the companies is detailed below:

The Demerged Company:

i. The Demerged Company has 8 (eight) **Equity Shareholders** and all have given their consents by way of deposing individual affidavits which are annexed to the Application.

ii. The Demerged Company has 1 (one) **Secured Creditor** and the said Secured Creditor has given its consent by way of deposing individual affidavit which is annexed to the Application.

iii. The Demerged Company has about 302 (three hundred and two) **Un-secured Creditors**. Out of 302 Un-secured Creditors, 138 (one hundred and thirty eight) Un-secured Creditors amounting to ₹23,26,32,132.49 and representing 91.77% of the total value, have given their consents by way of deposing individual affidavits which are annexed to the Application.

The Resulting Company:

i. The Resulting Company has 2 (two) **Equity Shareholders** and both have given their consents by way of deposing individual affidavits which are annexed to the Application.

ii. The Resulting Company has no **Secured Creditors**.

iii. The Resulting Company has 1 (one) **Un-secured Creditor** and the said Un-secured Creditor has given its consent by way of deposing individual affidavit which is annexed to the Application.

—Sd—

4. Learned Counsel-Mr Rajeev K Goel, appearing for the Applicants, made the following contentions with respect to the dispensation of the requirement of convening meetings of the following persons:

A. All the Equity Shareholders of the Demerged Company and the Resulting Company have given their written consents by way of affidavits. Therefore, the requirement of convening meetings of the Equity Shareholders of the Demerged Company and the Resulting Company may be dispensed with.

B. The sole Secured Creditor of the Demerged Company has given its written consent by way of affidavit. Therefore, the requirement of convening meeting of the Secured Creditor of the Demerged Company may be dispensed with.

C. There is no Secured Creditor in the Resulting Company. Therefore, there is no need to convene meeting of Secured Creditors of the Resulting Company.

D. The Un-secured Creditors of the Demerged Company constituting 91.77% of the total value [which is more than the requisite statutory majority of 90% in value as per section 230(9) of the Companies Act, 2013], have given their written consents by way of affidavits. Therefore, the requirement of convening meeting of the Un-secured Creditors of the Demerged Company may be dispensed with.

E. The sole Un-secured Creditor of the Resulting Company has given its written consent by way of affidavit. Therefore, the requirement of convening meeting of the Un-secured Creditors of the Resulting Company may be dispensed with.

5. This Tribunal directs that, in view of the consent affidavits given by the Equity Shareholders of the Demerged Company and the Resulting Company, the requirement of convening meetings of the Equity Shareholders of the Demerged Company and the Resulting Company, for the purpose of considering and if thought fit approving the proposed Scheme of Arrangement, is dispensed with.

6. This Tribunal directs that, in view of the consent affidavit given by the Secured Creditor of the Demerged Company, the requirement of convening the meeting of Secured Creditors of the Demerged Company for the purpose of considering and if thought fit approving the proposed Scheme of Arrangement, is dispensed with.

7. As stated, there is no Secured Creditor in the Resulting Company, accordingly, the requirement of convening the meeting of Secured Creditors of the Resulting Company, for the purpose of considering and if thought fit approving the proposed Scheme of Arrangement, is dispensed with.

8. This Tribunal directs that, in view of the consent affidavits given by the Unsecured Creditors of the Demerged Company and the Resulting Company, the requirement

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of convening the meeting of Un-secured Creditors of the Demerged Company and the Resulting Company for the purpose of considering and if thought fit approving the proposed Scheme of Arrangement, is dispensed with.

9. In compliance of sub section (5) of Section 230 of the Act and rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send notice to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; and (c) the Income Tax Department. The said notices be sent either by Registered Post or by Speed Post or by Courier or by Hand Delivery or through e-mail at the Offices of the authorities as required by rule 8(2) of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme of Arrangement.

10. The Applicants to file affidavits proving service of notice to the aforesaid statutory authorities with this Tribunal.

11. The application being Company Application (CAA) No.07/ALD/2022 is disposed of accordingly.

12. Connected company petition be filed within a period of four weeks.

13. Certified copies of this Order, if applied for, be provided to the parties concerned upon completion of usual formalities.

—Sd—

Rajasekhar V K

Digitally signed by Rajasekhar V K
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Virendra Kumar Gupta
Member (Technical)

Rajasekhar V.K.
Member (Judicial)

Swati Gupta(LRA)